

Keep Your Company in **Good Standing** in Florida

Compliance, taxes, and first operational steps,
explained step by step.



Legal Notice

This guide is intended for informational and educational purposes only. It does not constitute legal, tax, accounting, or financial advice, and does not create an attorney-client relationship between the reader and Florida Business Formation Center.

The laws, fees, and requirements mentioned may change without notice. While we make every effort to keep this information accurate and up to date at the time of publication, we do not guarantee that it is complete, accurate, or applicable to your particular situation.

Before making legal, tax, or financial decisions for your business, we recommend consulting a licensed attorney, accountant, or professional.

Florida Business Formation Center assumes no responsibility for any loss, damage, or consequence arising from the use of the information contained in this guide.

Introduction

Congratulations, your company is already formed! This is Guide II in our series, and it picks up right where Guide I left off: your LLC or Corporation is now an active entity with the State of Florida. Now comes the part almost no one explains in time, and it's just as important as the initial registration: keeping it active, in good standing, and truly ready to operate.

Most businesses that lose their active status with the State don't lose it over a big problem. They lose it by forgetting a date, by not updating an address, or by not knowing something was mandatory until it was too late. This guide exists so that doesn't happen to you: what's due, when, what happens if you don't file on time, and the real first operational steps to get your business actually running (bank account, online payments, first hires).

Like Guide I, we'll go straight to what you need to know, with simple examples for each topic. And remember you don't have to figure this out alone: write to us on WhatsApp, schedule a free appointment, or chat with Claudia, our virtual assistant available 24 hours a day, if a question comes up at any point in this guide.

Don't have Guide I yet? If this document was shared with you without having received the first guide in our series, you can request it for free below. In the pages that follow, we refer to several of the key terms explained in depth in Guide I — Registered Agent, EIN, Operating Agreement, Local Business Tax Receipt, Banking Resolution, and others — and we include a brief reminder of what each one is the first time it comes up, so you can follow this guide even if you haven't read that one.

[Request Guide I for free](#)

Your first 30 days

If you haven't completed any of these steps from Guide I yet, they're the priority before moving on:

- **EIN** (your company's federal tax identification number, issued by the IRS). If you haven't applied for it yet, it's the first outstanding item: without it, you can't open a bank account or hire anyone.
- **Operating Agreement** (the internal document that defines how your LLC is managed and divided among the owners). If you have partners (or even if you don't), having it signed from the start prevents disputes later on.
- **Business bank account.** We cover the details further below in this same guide.

If you operate outside Florida: you formed your company in Florida, but if you have a physical office, employees, or a substantial presence in another state, you likely also need to register it there as a "**foreign LLC**" (foreign in the sense of being from "outside" that state, not the country). This is a qualification filing in the state where you actually operate, separate from the original Florida registration.

Example: imagine you formed your LLC in Florida because the fees are lower, but in practice you serve clients and have a physical location in Georgia. Georgia will likely require you to register your Florida LLC there as a "foreign LLC," in addition to keeping it active in Florida. Both registrations coexist, they're not mutually exclusive.

[Register my Foreign LLC](#)

The compliance calendar you can't ignore

Forming the company was a one-time filing. Keeping it active is an annual commitment. These are the dates that truly matter.

Annual Report

What it is. This is an annual confirmation with the State of Florida that your company is still active and that its registration details (address, Registered Agent, officers/members) are still correct. It's not an optional filing or something you submit "if needed": every active LLC and Corporation in Florida must file it, every year, whether or not anything has changed.

When it's due. Every year, between **January 1 and May 1**. Your company's first Annual Report is due on May 1 of the calendar year **following** your formation (if you formed your company at any point in 2026, your first Annual Report is due May 1, 2027).

What happens if you're late. Filing after May 1 automatically adds a \$400 late fee, no exceptions, no matter how many days late it is. And if you don't file it at all, the State begins the **administrative dissolution** process for your company, typically in late September. Once dissolved, you lose the LLC's or Corporation's legal protection as if you'd never formed it, and reinstating it is a separate filing, more expensive and slower than having filed on time.

Example: imagine you formed your LLC in March 2026. Your first Annual Report is due May 1, 2027, and then every May 1 after that, indefinitely, for as long as the company exists. If in 2027 you file it on May 15, you already owe the \$400 late fee even though it was only two weeks late.

Peace of mind, without having to remember it every year. If you sign up for our Annual Report as a subscription, we take care of filing and renewing it on time every year — you don't have to track the deadline or handle the filing yourself, we make sure your company is never exposed to the late fee or the risk of administrative dissolution.

[File my Annual Report](#)

Keeping your Registered Agent active

The **Registered Agent** is the person or company with a physical address in Florida authorized to receive legal documents and official notices on your company's behalf — we cover this in depth in Guide I, but it's worth repeating here because, along with the Annual Report, it's the most common reason a company loses its active status without the owner finding out until months later. If you're your own Registered Agent and you move, stop being available at that address during the required hours, or simply stop checking that mail, the State can notify you about not having an active agent, and you won't find out until it's too late.

The simplest way to avoid this mistake entirely: hire a Registered Agent service, so you don't depend on your own availability every business day of the year.

[Hire my Registered Agent](#)

BOI report with FinCEN — a reminder

In Guide I, we explained the Beneficial Ownership Information (BOI) report with FinCEN in detail. The summary: if you formed your company within the United States (the case for the vast majority of our clients), you're exempt today. Since this is an area that changed more than once in a short time, the only new recommendation here is: don't assume what you knew a year ago is still current. If you have questions, confirm the current status before acting, or just ask us directly.

Taxes: what comes after forming

Does the S-Corp election make sense for you now?

In Guide I we explained what the S-Corp election is and how the self-employment tax savings work. If you didn't qualify at that point (for example, because your business was just starting and didn't have steady profit yet), it's worth reconsidering now that your company has been operating for a while. As a quick reference: Form 2553 must be filed no later than two months and fifteen days after the start of the tax year in which you want the election to take effect; if you miss that date for the current year, the election only applies starting the following tax year.

[Apply for my S-Corp election](#)

Sales Tax registration, if you haven't done it yet

If you weren't selling physical products or providing taxable services when you formed your company, and that's changed, now is the time to register. Remember: this is a separate registration with the Florida Department of Revenue, different from your company's registration with the State, and you need it before charging sales tax to your first customer, not after.

[Register for my Sales Tax](#)

Estimated quarterly payments to the IRS

If your company is pass-through (LLC or S-Corp, the most common case), the business profit flows straight to your personal return, but the IRS doesn't wait until April of the following year to collect that tax: if you estimate you'll owe more than \$1,000 in federal taxes for the year, you generally have to pay estimated tax **quarterly**, not all at once.

Roughly when they're due: mid-April, mid-June, mid-September, and mid-January of the following year (exact dates are confirmed each year, since they sometimes shift around weekends or holidays).

What happens if you don't pay them. The IRS can charge you an underpayment penalty, even if you pay the correct total on your annual return at the end of the year. This isn't just an organizational suggestion, it's an obligation with a real financial consequence if you ignore it.

Practical recommendation: keep your bookkeeping current throughout the year (not just in March) so you can estimate with some accuracy what you owe each quarter, instead of guessing.

Local licenses that renew every year

The **Local Business Tax Receipt** — the permit your county, and sometimes your city too, requires to legally operate a business in that jurisdiction, regardless of having already formed your LLC or Corporation at the state level — we already covered in Guide I. What's new here is an operational detail: unlike your company's registration with the State (which doesn't expire or need renewal), the Local Business Tax Receipt **renews every year** with your county (and your city, if applicable), generally before September 30. Mark it on your calendar alongside the Annual Report: these are two separate annual renewals, from two different agencies, and both have real consequences if you miss them.

[Renew/apply for my Local Business Tax Receipt](#)

Protect the "corporate veil"

In Guide I we briefly mentioned that mixing personal and business funds can lead a court to "pierce the corporate veil" and reach your personal assets despite having an LLC or Corporation. Now that your company is actually operating, here are the concrete practices that sustain that protection day to day:

- **Never pay personal expenses from the business account, or vice versa.** Not even once "because I'll pay it back later anyway." It's the most common mistake and the easiest to avoid.
- **Sign contracts and invoices in the company's name**, not your personal name (e.g., "Acme LLC" and your title, not just your name).
- **Keep separate records:** bookkeeping, receipts, and documentation of the company's important decisions (this is, among other things, what the Operating Agreement is for).
- **Don't treat the business account as an extension of your personal wallet**, even if you're the sole owner and no one else is watching. A court will be watching if there's ever a lawsuit.

None of these practices cost money. They cost discipline, and they're the real difference between having legal protection on paper and having it in practice too.

Open your business bank account and build business credit

With your entity formed, your EIN, and your Operating Agreement (if you have partners) or your **Banking Resolution** (the short document that formally authorizes one or more specific people to open and manage the account on behalf of your LLC or Corporation), you can now open your company's bank account. Some general points to keep in mind:

- **Choose a bank that understands small businesses or your specific industry** — not every bank offers the same terms for new business accounts.
- **Bring all your formation documents, EIN, and Operating Agreement/Banking Resolution** to the appointment, most banks ask for all of them together.
- **Once the account is open, consider a business credit card or line of credit** in the LLC's or Corporation's name (not your personal one). Using it and paying it on time starts building credit history for the company, separate from your personal credit, which helps later if you seek financing in the business's name.

This section will be expanded with a more detailed, step-by-step guide to the banking process in a future update.

[Request my Banking Resolution](#)

Setting up payments with Stripe

If you're going to charge your customers online (a store, services, subscriptions), you need a payment gateway connected to your business bank account. **Stripe** is one of the most widely used by small and mid-sized businesses in the United States.

What you need ready before creating the account: - Your company already formed (active LLC or Corporation). - Your EIN. - Your business bank account already open (Stripe deposits what it collects there).

In general terms, the process is: create the account with your company's details, complete identity verification for the owner/representative and the business (Stripe may request additional documentation depending on your industry), and connect your bank account to receive deposits. Approval can be immediate or take a few days if Stripe requests additional verification.

This section will be expanded with a more detailed step-by-step setup guide in a future update.

Hiring: 1099 vs. W-2, and business insurance

When it's time to add someone to your team, the first decision is how to hire them:

- **Independent contractor (Form 1099).** Works by project or on their own, isn't your employee, files their own taxes, and you don't withhold anything or pay them benefits. Simpler administratively, but the IRS is strict about what really qualifies as a "contractor": if you control how, when, and where they work as if they were an employee, even if you pay them via 1099, the IRS can reclassify them as an employee with the obligations (and penalties) that carries retroactively.
- **Employee (Form W-2).** They're part of your payroll: you withhold taxes, pay the employer portion of Social Security/Medicare, and in Florida you're required to carry **Workers' Compensation** (workplace injury insurance) from the moment you hire your first employee, with few exceptions depending on industry.

Example: imagine you hire a designer for a one-off logo, pay them once for that project, and they never work for you again. That's a typical 1099. Now imagine you hire someone to staff your location every day, with a fixed schedule you set. Even if you pay them "off the books" as if they were 1099, in practice they're an employee, and treating them as a contractor exposes you to IRS reclassification with retroactive penalties.

As for insurance, we already covered in Guide I the difference between General Liability (recommended, not always required) and Workers' Compensation (required in Florida as soon as you have your first employee on payroll, regardless of business size).

The most common mistakes that cost a business its active status

- **Not filing the Annual Report on time**, or forgetting it entirely. It's by far the number-one cause of administrative dissolution.
 - **Losing your Registered Agent without realizing it** (they moved, stopped being available, or stopped checking mail at that address).
 - **Not updating the company's address** with the State after moving, which means official notices never reach you.
 - **Assuming "doesn't expire" means "nothing to do."** The LLC's registration itself doesn't expire, but that doesn't exempt it from the Annual Report or its local licenses, which do renew every year.
 - **Mixing personal and business funds**, weakening the legal protection the company was formed to give you in the first place.
 - **Not budgeting for quarterly tax payments**, and getting a surprise (and an extra charge) when filing the annual return.
-

Your compliance checklist

- ☐ Confirm the exact due date of my next Annual Report
- ☐ Verify my Registered Agent is still active and available
- ☐ Confirm whether my company is exempt from the BOI/FinCEN report
- ☐ Evaluate whether the S-Corp election makes sense for me this year
- ☐ Confirm whether I need to register for Sales Tax
- ☐ Schedule my estimated quarterly payments to the IRS
- ☐ Renew my Local Business Tax Receipt before it expires
- ☐ Open/maintain a separate bank account for the business
- ☐ Set up online payment collection if I sell online
- ☐ Decide whether my next hire is 1099 or W-2
- ☐ Confirm whether I need Workers' Compensation

[Talk to a specialist](#)

Glossary

- **Annual Report:** annual confirmation with the State of Florida that your company is still active; due every May 1.
- **Administrative dissolution:** the process by which the State deregisters a company that didn't meet its annual obligations.
- **Foreign LLC/Corp:** a qualification registration that allows a company formed in one state to legally operate in another.
- **Corporate veil:** the legal separation between you and your company; it can be "pierced" (lost) if that separation isn't respected in practice.
- **1099 vs. W-2:** the two forms that distinguish an independent contractor from a payroll employee.
- **Workers' Compensation:** insurance required in Florida that covers workplace injuries, required from the first employee on payroll.
- **Estimated quarterly tax:** advance federal tax payments the IRS requires throughout the year, not only when filing the annual return.